Note 10. Income Taxes

Income taxes (benefits) in the consolidated statements of income include the following amounts:

(in thousands)	Current	Deferred	Total
2009			
Federal	$ (1,026)	$ (4,841)	$ (5,867)
State	3,423	558	3,981
Total	$ 2,397	$ (4,283)	$ (1,886)
2008			
Federal	$ 85,009	$ (58,541)	$ 26,468
State	34,881	(19,566)	15,315
Total	$ 119,890	$ (78,107)	$ 41,783
2007			
Federal	$ 97,686	$ (5,012)	$ 92,674
State	33,751	(1,451)	32,300
Total	$ 131,437	$ (6,463)	$ 124,974

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CITY NATIONAL CORPORATION

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS (Continued)

Note 10. Income Taxes (Continued)

The Company had income taxes receivable of $69.9 million, at December 31, 2009 and an income tax payable of $1.0 million and $14.3 million as of December 31, 2008 and 2007, respectively.

The tax effects of temporary differences that give rise to significant portions of deferred tax assets and deferred tax liabilities at December 31, 2009 and 2008 are presented below:

(in thousands)	December 31, 2009	2008
Deferred tax assets:		
Allowance for credit losses	$ 137,752	$ 132,041
Federal and state carryforwards	25,767	—
Accrued expenses	39,371	28,552
Depreciation	3,356	8,515
Unrealized gains on cash flow hedges	(2,527)	(4,232)
Unrealized losses on securities available-for-sale	4,655	38,811
Share-based compensation	19,316	10,887
Basis difference in investments	23,415	29,217
Other	849	10,198
Total gross deferred tax assets	251,954	253,989
Deferred tax liabilities:		
Core deposit and other intangibles	6,732	5,641
State income taxes	11,205	2,949
Deferred loan origination costs	7,460	4,910
Prepaid expenses	1,681	1,012
Basis difference from acquired assets	25,373	—
Leasing activities	17,455	—
Basis difference in FHLB Stock	15,959	—
Other	2,051	12,623
Total gross deferred tax liabilities	87,916	27,135
Net deferred tax assets	$ 164,038	$ 226,854

The Company has federal and state capital loss carryforwards totaling $20.8 million which are expected to expire in 2012 and federal tax credit carryforwards totaling $16.3 million which are expected to expire in 2029.

The tax benefit of deductible temporary differences and tax carry forwards are recorded as an asset to the extent that management assesses the utilization of such temporary differences and carry forwards to be "more likely than not." As of any period end, the amount of the deferred tax asset that is considered realizable could be reduced if estimates of future taxable income are reduced. Management expects to have sufficient taxable income in future years to fully realize the deferred tax assets recorded at December 31, 2009, and has determined that a valuation reserve is not required for any of its deferred tax assets.

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Note 10. Income Taxes (Continued)

Income taxes resulted in effective tax rates that differ from the statutory federal income tax rate for the following reasons:

	Percent of Pretax Income (Loss)		
	2009	2008	2007
Statutory rate	35.0%	35.0%	35.0%
Net state income tax	5.1	5.7	5.9
Tax exempt income	(19.7)	(5.8)	(2.4)
Affordable housing investments	(21.0)	(5.2)	(1.8)
All other, net	(3.2)	(2.2)	(1.7)
Effective tax provision	(3.8)%	27.5%	35.0%

The effective tax rates differ from the applicable statutory federal and state tax rates due to various factors, including tax benefits from investments in affordable housing partnerships and tax-exempt income on municipal bonds and bank-owned life insurance. The Company recognizes investment tax credits from low income housing and other investments in the year the credit arises under the flow-through method of accounting. The effective tax rate for the current and year earlier period reflect the adoption of new guidance related to accounting for noncontrolling interest that became effective January 1, 2009. The new guidance does not change the accounting for income taxes but it does change the presentation of income taxes in the consolidated financial statements. Noncontrolling interests' share of subsidiary earnings is no longer recognized as an expense in the computation of consolidated net income. A decline in the effective tax rate occurs because consolidated net income includes earnings allocable to the noncontrolling interest for which no tax expense is provided. The guidance requires that prior periods presented be restated retrospectively.

The Company and its subsidiaries file a consolidated federal income tax return and also file income tax returns in various state jurisdictions. The Internal Revenue Service ("IRS") completed its audits of the Company for the tax year 2008 resulting in no material financial statement impact. The Company is currently being audited by the IRS for 2009 and by the Franchise Tax Board for the years 1998-2004. The potential financial statement impact, if any, resulting from the completion of these audits is expected to be minimal.

From time to time, there may be differences in opinions with respect to the tax treatment accorded transactions. If a tax position which was previously recognized on the financial statements is no longer "more likely than not" to be sustained upon a challenge from the taxing authorities, the tax benefit from the tax position will be derecognized. As of December 31, 2009, the Company does not have any tax positions which dropped below a "more likely than not" threshold.

The Company adopted the revised accounting guidance for uncertainty in income taxes under ASC Topic 740, *Income Taxes*, that became effective on January 1, 2007. Upon adoption, the Company recognized a cumulative effect adjustment of approximately $28.0 million, comprising a $25.2 million increase to its tax liability and $2.8 million increase in accrued interest. The adjustment was recorded as

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Note 10. Income Taxes (Continued)

a charge to January 1, 2007 retained earnings and the contingent tax reserve. A reconciliation of the beginning and ending amount of unrecognized tax benefits for 2009 and 2008 is as follows:

(in thousands)	2009	2008
Balance, beginning of the year	$ 11,633	$ 15,943
Additions for tax positions of prior years	4,220	2,928
Reductions for tax positions of prior years	(783)	(1,201)
Settlements	(4,821)	(6,037)
Balance, end of the year	$ 10,249	$ 11,633

As of December 31, 2009 and 2008, the total tax liabilities associated with unrecognized tax benefits that, if recognized, would impact the effective tax rate is $2.6 million and $2.2 million, respectively.

The Company recognizes accrued interest and penalties related to uncertain tax positions as an income tax provision expense. The Company recognized approximately $1.2 million and $1.7 million of interest and penalties expense for the years ended December 31, 2009 and 2008, respectively. The Company had approximately $7.4 million and $6.3 million of accrued interest and penalties as of December 31, 2009 and 2008, respectively.